

A Contingency Approach to the Design of Service Transformation Processes

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From an operations management perspective, a service is a transformation process. The service process receives inputs from its environment, performs a set of transformation tasks on the inputs, and produces a service product as output. The specification of these service process activities is the result of process design decisions. Based on organizational contingency theory, service transformation process design decisions are dependent on the interaction of the process with the environment. In addition, for a specified degree of environmental interaction, each service process design decision must complement, fit or be congruent with, each of the other process design decisions.

Given this background, this research explores two theses: (1) Service transformation processes are designed differently depending on the degree of environmental uncertainty imposed on the process through interaction with customers. (2) For a specified level of environmental uncertainty, i.e. interaction between customers and the service process, the service process design decisions should be congruent. A theoretical model of service transformation process design consisting of environmental uncertainty and twelve design decision variables was constructed and used to develop specific hypotheses implied by the theses.

The research hypotheses were tested with descriptive data collected on thirty-six work groups in the retail banking industry which were evenly divided among personal banker, teller, and bank office work groups. These work groups were assumed to correspond to high, medium, and low environmental uncertainty conditions. The data was collected using both a structured interview with the supervisor of each work group and a questionnaire which was administered to the supervisor and three individuals within each work group.

The results indicate significant design differences exist between the work groups which encounter different qualities and quantities of customer information. The perceived uncertainty of the respective work groups was counter to the expected results; boundary spanning work groups, e.g. personal banker work groups, experienced lower perceived uncertainty than technical core work groups, e.g. back office work groups. The results showed no evidence of congruency for work groups operating under high and low environmental uncertainty conditions; work groups operating under medium environmental uncertainty showed evidence of congruency. (Order Number DA8911035, August 1989.)